**Note 7 - Income Taxes**

Deferred income taxes reflect the tax consequences on future years of differences between the tax bases:

| | 2013 | 2012 |
|---|---|---|
| Net operating loss carry-forward | 1,003,419 | 602,921 |
| Deferred tax asset at 39% | $ 391,333 | $ 234,355 |
| Valuation allowance | (391,333) | (234,355) |
| Net future income taxes | $ - | $ - |

In assessing the realizability of future tax assets, management considers whether it is more likely than not that some portion or all of the future tax assets will not be realized. The ultimate realization of future tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of future tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Management has provided for a valuation allowance on all of its losses as there is no assurance that future tax benefits will be realized.

Our tax loss carry-forwards will begin to expire in 2022.